Par Value

Par value, also known as nominal or original value, **is the face value of a bond or the value of a stock certificate**, as stated in the corporate charter. Par value is required for a bond or a fixed-income instrument and shows its maturity value and the dollar value of the coupon, or interest, payments due to the bondholder.

Par value (also called **face value**) is the **original value** or **fixed price** of a financial instrument, such as a bond or stock, set when it's first issued.

Here's a simple breakdown:

For Bonds:

- **Par value** is the amount that the bond issuer (like a company or government) promises to pay back to the bondholder when the bond matures (i.e., at the end of the bond's term).
- Example: If a bond has a par value of **INR 1,000**, the bondholder will receive **INR 1,000** when the bond matures, plus interest payments (coupons) along the way.

For Stocks:

- **Par value** is a very low, nominal value (often as little as INR 1 or even less) assigned to a share of stock when a company issues it. It doesn't reflect the actual market price.
- Example: A company might issue shares with a par value of **INR 10**, but the shares could be traded on the stock market at much higher prices based on demand.

By assigning low par values to their stocks, companies can decrease their incorporation fees.

In **bond investing**, the **face value (par value)** is the amount the bondholder will get back when the bond **matures** (reaches the end of its term), as long as the company or government that issued the bond doesn't fail to pay.

How Interest Rates Affect Bonds:

- Bonds are traded in the **secondary market** (bought and sold between investors). The **price** of bonds changes based on **interest rates**.

1. **When Interest Rates Go Up**:
    - If current **interest rates** are higher than the bond's **coupon rate** (the interest the bond pays), investors won't find that bond as attractive because they can get a better deal elsewhere.
    - As a result, the bond is sold at a **discount** (for **less than its face value**).
    - Example: If your bond pays 5% interest but new bonds are paying 7%, people will only buy your bond if they can get it for less than face value.
2. **When Interest Rates Go Down**:
    - If **interest rates** are lower than the bond's **coupon rate**, your bond becomes more attractive because it pays a higher interest than what's available now.
    - In this case, the bond is sold at a **premium** (for **more than its face value**).
    - Example: If your bond pays 5% and new bonds are only paying 3%, investors will pay more than the face value to buy your bond.

The **face value** (or **par value**) of a company's shares is the **minimum amount** that the company must keep as **legal capital**. This acts like a safety reserve, ensuring the company retains some money in case of financial trouble. The company can only pay out profits to investors (as **dividends**) from the extra money it makes, **above** this face value.

However, there's no rule that says how high or low the face value of shares has to be. Companies can set it **very low** to minimize the amount they need to keep as reserve.

Example:

- **AT&T**: Sets the face value of its shares at **$1 per share**.
- **Apple**: Sets its face value extremely low, at **$0.00001 per share**.

This allows companies like Apple to have a very small legal reserve while still issuing valuable shares that trade at much higher prices in the market. In simple terms, the **face value is a technical, often symbolic number** that doesn't reflect the real value of a company's stock in the market.

Reasons Companies Set Par Value

There are four main reasons why a company might set a par value. This list mainly considers equities Note that any given company may not experience the same requirements or considerations for having to set a par value.

1. **Meeting Legal Requirements:** Many jurisdictions have corporate laws that mandate the assignment of a par value to shares upon incorporation. This requirement is designed to ensure that companies have a minimum level of capital. In some states, companies have to set par value as part of issuing stock.
2. **Offering Creditor Protection:** By setting a floor on the equity capital, par value ensures that there is a base amount of capital that remains within the company. Though companies may not always mean to do this, this actually protects creditors by ensuring that not all of the company's assets can be distributed as dividends.
3. **Setting Investor Perception:** Par value, though often set at a nominal amount, can positively influence investor perceptions. The existence of par value can signal to investors that the company is meeting formal and legal standards. If nothing else, this may enhance their confidence in the company's financial management and stability.
4. **Helping Accounting and Financial Reporting:** par value plays a role in accounting. By differentiating the nominal value of shares (par value) from any additional amounts paid by investors (additional paid-in capital), companies can provide a clearer and more detailed picture of their financial health. This distinction may help aid analysts and regulators.